



Buy, Rent, Hold – Crib Sheet

Buy-Rent-Hold is when you buy a property (residential or commercial) and rent it out (for a profit) with the intention of holding it for a long period of time (at least 5 years) before an exit strategy such as a sale or refinance is implemented.

Pros

- Buying and holding real estate is a recipe for amassing great wealth.
- Provides Investors with cashflow, appreciation and mortgage pay down.
- Safe Investment strategy: Even if the market takes a downturn, it normally manages to stabilize and increase throughout the duration of the hold period.
- Investors have a lot of control as they can plan their returns and projections and account for possible errors that may occur such as changes in mortgage rates, housing price fluctuations, economic recessions and problems with tenants and vacancy.
- Investor's can utilize leverage borrowing up to 80% capital from lenders to purchase their investment.
- Investors are rewarded with a substantial amount of funds when they sell or refinance allowing them to replace income or pay for big ticket items in life (i.e. Post-secondary schooling for children, retirement etc.)
- If investors continue to pay off their mortgage over 25-30 years in its entirety, the cashflow from these homes are an excellent income generator in retirement and/or can be passed down to future generations.
- The equity created in a real estate investment provides an excellent base for financing other investment opportunities.
- Monthly cashflow is relatively tax friendly as it is classified as passive income.
- Investors of BRH can take advantage of depreciation and other types of losses.

Cons

- Many investors, especially first-time rental property owners, are ill-prepared or ill-equipped to deal with the responsibilities that come with managing rental property
- Capital-intensive: Obtaining 20% down can be difficult for some Investors.
- Qualifying for traditional mortgages can be difficult with changing mortgage regulations.
- Investors buying power can be limited due to lending criteria.
- Investors may not have the skills set or training to buy properties that are a good investment.